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ECONOMICS

Introductory Microeconomics — Part 2

Class 10

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Chapter 1

Introduction

Economics studies how societies allocate scarce resources to satisfy unlimited wants. It is divided into microeconomics, which examines individual agents such as households and firms, and macroeconomics, which studies the economy as a whole including national income, employment and inflation. The central problems of an economy — what to produce, how to produce and for whom to produce — arise from scarcity. Different economic systems such as market capitalism, socialism and mixed economies address these problems in distinct ways. India adopted a mixed economy model after independence.

Chapter 2

Theory of Consumer Behaviour

Consumers maximize their satisfaction (utility) subject to a budget constraint. The law of diminishing marginal utility states that as consumption of a good increases, the additional satisfaction from each extra unit declines. Indifference curve analysis represents consumer preferences, while the budget line represents affordability. Equilibrium is reached where the indifference curve is tangent to the budget line. Changes in income and prices shift or rotate the budget line, altering the optimal consumption bundle and leading to income and substitution effects.

Chapter 3

Market Equilibrium

Market equilibrium occurs where market demand equals market supply, determining the equilibrium price and quantity. When price is above equilibrium, surplus emerges, pushing prices down; when below, shortage drives prices up. Government intervention through price ceilings and floors can create shortages or surpluses. Elasticity of demand and supply determines how quantities respond to price changes. Understanding equilibrium is crucial for analyzing taxes, subsidies and the impact of shocks on markets.